

Dott. Maurizio Annitto
Revisore Legale

STATUTORY AUDITORS' REPORT ON THE FINANCIAL STATEMENTS

For the year ended December 31, 2025

CONFEDERATION EUROPEENNE D'ESCRIME a.s.b.l
EUROPEAN FENCING CONFEDERATION a.s.b.l

To the membership,

PREMISES

In compliance with the assignment conferred upon me by your Congress, and in accordance with your Statutes, (Article 4.11.10), I hereby report to you, for the year ended December 31, 2025, relating to the audit of the accompanying financial statements of the European Fencing Confederation (E.F.C.), the following documents:

- The balance sheet;
- The profit and loss statement;
- The Cash flow statement
- A summary of significant accounting policies and other explanatory notes.

These financial statements have been prepared by the Treasurer. My role is to express an assessment of these financial statements based on the audit done.

NOTES TO THE ANNUAL ACCOUNTS

1. GENERAL

The “European Fencing Union” was created on October 26, 1991 in Austria for an unlimited period; by virtue of a decision of the General Assembly, held on April 21, 1997 in Gdansk (Poland), the denomination of the association was changed to: “Confédération Européenne d’Escrime” (C.E.E) - “European Fencing Confederation” (E.F.C).

The association has been registered to the Luxembourgish “Registre du Commerce & des Societes” at 25th January 2006, under the number F0001378, and it has its registered office at Fédération Luxembourgeoise d’Escrime –, Maison du Sport 3, route D’Arlon L – 8009 Strassen, LUXEMBOURG. The confederation is governed by a statute, the latest version of which was approved by the Congress in Genoa on June 13, 2025, was filed and registered at the “Registre du Commerce & des Societes” on November 8, 2025 as n° D26467879.

Dott. Maurizio Annitto
Revisore Legale

The objects of the association are:

- to promote and develop the sport of fencing in Europe
- to coordinate and facilitate the teaching of fencing in Europe
- to support the creation of national federations in European countries within a Member Federation
- to promote and develop the struggle against doping
- to promote and develop the practice and culture of Historical Fencing – European Martial Arts or any other arising form Fencing practiced in one or several Member Federations.

In furtherance of the objects but not otherwise, the EFC has the following powers:

- to promote and develop the practice of fencing in Europe as extensively as possible, and to assist the International Fencing Federation (“FIE”) in achieving the same goal by coordination between the national federations, continuously and through all contacts necessary, and establishing, setting and proposing means of promotion likely to have the best impact to ensure amicable mutual support, of technical and other kinds, between Member Federations and to strengthen the ties of friendship which unites fencers of all European countries;
- to represent fencing in relationships with other European entities;
- to adhere to, subscribe to and promote the Olympic Charter and the Olympic Movement as set out from time to time by the International Olympic Committee, in so far as they apply to the EFC, provided that such obligations do not conflict with Luxembourg or EU law and in accordance with the generally accepted principles of good governance for continental sporting governing bodies for Europe;
- to organize European senior, U23, junior and cadet championships at all weapons for both men and women and other European championships and competitions that it may choose;
- to discharge the obligations of the Zonal Confederation (as defined and set out in the FIE Statutes) for Europe, provided that such obligations do not conflict with Luxembourg or EU law and are in accordance with the generally accepted principles of good governance for continental sporting governing bodies for Europe;
- to ensure strict applications of the FIE Statutes and other regulations and aims by Member Federations and their members, provided that the application of those statutes or regulations do not conflict with Luxembourg or EU law;
- to coordinate initiatives of the Member Federations;
- to carry out itinerant missions in Europe entrusted to it by the FIE to reinforce Member Federations;
- to ensure that the principle of non-discrimination on race, sex, ethnicity, religion, political opinions, family status or other is respected;
- to adhere to and promote the FIE’s Ethics Code, including its Betting and Anti-Corruption Rules appendix; and to be subject to the FIE’s Disciplinary Code.

The accounting year begins on January 1st of each year and ends on December 31st of the same year.

Dott. Maurizio Annitto
Revisore Legale

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The annual accounts have been prepared in accordance with generally accepted accounting principles.

The Association keeps its accounts according to a system of accounting books that conforms to the standard double-entry bookkeeping rules.

The Association maintains its accounting records in € (EURO) and its annual accounts are expressed in this currency. The transactions made in a currency other than € are translated into € at the exchange rate prevailing at the transaction date. Assets, other than fixed assets, and liabilities denominated in currencies other than € (EURO) are translated into € (EURO) at the exchange rate prevailing at the balance sheet date.

Cash accounts are recorded at their nominal value.

I remind you that the Association, starting from the 2026 financial year, will have to do the financial statement presentation in accordance with the Law of the Grand Duchy of Luxembourg of August 7, 2023, on non-profit associations and foundations, and will contain the further information required by art. 18 for “medium size associations” which is the Association based on the parameters of the law.

3. WORK PERFORMED

As provided by your Statutes (Article 10.6), *“The statutory auditor’s role is to annually examine the financial activities of the EFC, including the appropriate use of aids granted by the FIE, based on the documents submitted by the Treasurer. They provide a report of this examination to the Congress, which report shall adhere to recognized international financial reporting standards”*

The verifications of the accounts have been done in Dublin, at the presence of the Treasurer, who, as provided by your Internal Rules (Article 4.8.4.) *“Oversees the preparation of the accounts of the last fiscal year and the balance sheet”*.

The Treasurer provided all the necessary supporting documents, in particular the draft of the financial statements, all the related attachments, including bank statements, expenditure and revenue documents, contracts and any other useful document.

I conducted the audit according to the ISA principles, and I am independent from the association in accordance with the rules and principles on ethics and independence.

I consider the evidence acquired, upon which found my analysis, being sufficient and appropriate.

Dott. Maurizio Annitto
Revisore Legale

The Treasurer is responsible for the preparation of the financial statements which provide a true and correct representation of the equity and financial position.

The Treasurer is responsible for assessing the association's ability to continue to operate as a going concern and, in preparing the financial statements, for the appropriateness of using the going concern assumption, as well as for adequate disclosure.

My goals consist in the acquisition of a reasonable assurance that the financial statement as a whole does not contain any significant error, due to frauds or to non-intentional behaviours or events, and the issue of an audit report which includes my judgement.

'Reasonable assurance' means a high level of certainty which, however, does not give the warranty that an audit, drawn up in accordance with the ISA principles, always identifies a significant error, if occurring.

The 'errors' can come from frauds or from non-intentional behaviours or events, and they are judged as 'significant' when such errors, individually or as a whole, are reasonably able to influence business decisions taken by the stakeholder on the basis of the financial statement.

In order to carry out the audit in compliance with the ISA principles, I exercised professional judgement and I maintained professional scepticism during the entire duration of the work. In addition:

- The audit would be carried out considering the size of the association and its organizational structure;
- I identified and considered the risks of significant errors in the financial statements; I determined and carried out audit procedures in order to prevent such risks; I checked the draft of the financial statements, and all of its attachments, including bank statements, a sample of expenditure and revenue documents, contracts and any other useful document, which were provided to me by the Treasurer and the Accountants. I considered the evidence acquired, upon which found my judgement, been sufficient and appropriate;
- I came to a conclusion on the appropriateness of the use by the treasurer of the going concern assumption, do not question the going concern of the association;
- I evaluated the appropriateness of the accounting principles applied as well as the reasonableness of the accounting estimates prepared by Treasurer;
- I evaluated the presentation, the structure, and the content of the financial statement as a whole, and whether it represents the operations in order to furnish a correct representation.
- I communicated to the General Secretary and Treasurer, among other aspects: the scope and timing planned for the audit, and the significant results found, including the corrections to apply to the draft of financial statement.
- I have acquired knowledge and supervised, as far as I am concerned, on the adequacy and functioning of the administrative-accounting system, as well as on the reliability of this to correctly represent management events, by obtaining information from the Treasurer, and accountants, and the examination of company documents, and in this regard, we have no particular comments to report.

The reference to the opinion on the previous year's financial statements, as required by the law in order to make a comparison, is the report issued on May 9, 2025.

Dott. Maurizio Annitto
Revisore Legale

The association has drawn up the financial statements summarizing the items “Administration costs”and “Financial profits and costs”.

In order to ensure the transparency and clarity of the financial statements, I have arranged some tables with the comparison of the aforementioned items, with the values of the previous year, and also the following statement of financial position.

The attachments are as follows:

Statement of financial activities					
	Exercice 2025		Exercice 2024		Variation
	Amounts	%	Amounts	%	
OPERATING INCOME					
Subventions from FIE	58.505	13,25%	156.306	35,40%	-62,57%
Remboursement expenses European Championship U20-U17	-	0,00%	44.640	10,11%	-100,00%
Competition Levies	113.595	25,72%	102.730	23,26%	10,58%
Penalties	4.646	1,05%	-	0,00%	
Licence Fees	253.145	57,33%	251.588	56,97%	0,62%
Membership Fees	11.693	2,65%	12.000	2,72%	-2,56%
Total operating income	441.584	100,00%	567.264	100,00%	14,34%
OPERATING EXPENSES					
National Federations: Championships/Congress(ex FIE)	-	0,00%	82.999	24,44%	-100,00%
Promotional Programme	-	0,00%	3.253	0,96%	-100,00%
Solidarity Programme	1.050	0,31%	16.606	4,89%	-93,68%
Technical Director	24.000	7,07%	24.000	7,07%	0,00%
Technical Director Assistant	6.658	1,96%	-	0,00%	
Championships Expenses	9.144	2,69%	112.254	33,05%	-91,85%
Under 14 Festival	8.164	2,40%	10.134	2,98%	-19,44%
European Cup of Club Champion	26.743	7,87%	34.271	10,09%	-21,97%
Cadet Circuit Support & Under 23 Circuit	33.054	9,73%	2.990	0,88%	1005,48%
Administration costs	154.033	45,35%	155.258	45,71%	-0,79%
Referees Commission& Project	30.510	8,98%	20.464	6,03%	49,09%
Commission	22.837	6,72%	371	0,11%	6055,53%
Media	22.648	6,67%	24.778	7,30%	-8,60%
Legal Commission	-	0,00%	2.000	0,59%	-100,00%
Other Expenses	797	0,23%	68	0,02%	1072,06%
Total operating expenses	339.638	76,91%	489.446	110,84%	-30,61%
OPERATING RESULT	101.946	23,09%	77.818	17,62%	23,67%
Financial profits & costs	-105	-0,02%	-12.001	-2,72%	-11329,98%
CHANGE IN NET ASSETS	102.051	23,11%	89.819	20,34%	13,62%

Dott. Maurizio Annitto
Revisore Legale

Exercise 2025			Exercise 2024		Variation
Amounts	%		Amounts	%	%
ADMINISTRATION COSTS					
President's Expenses	17.105	11,10%	15.478	10,05%	10,51%
Presidentis Assistant	6.000	3,90%	0	0,00%	
General Secretary	24.000	15,58%	24.222	15,73%	-0,92%
Treasurer	6.420	4,17%	6.420	4,17%	0,00%
Stationery, Printing and Postage	2.713	1,76%	581	0,38%	366,95%
Website	19.291	12,52%	19.642	12,75%	-1,79%
New Website	15.900	10,32%	0	0,00%	
Congress	36.912	23,96%	0	0,00%	
Bureau, Comex	11.769	7,64%	75.099	48,76%	-84,33%
Insurance	6.974	4,53%	6.690	4,34%	4,25%
Legal costs	793	0,51%	0	0,00%	
Accountants' Fees	2.600	1,69%	2.500	1,62%	4,00%
Audit fees & expenses	3.556	2,31%	4.626	3,00%	-23,13%
Total administration costs			154.033	155.258	-0,79%
FINANCIAL PROFITS AND COSTS					
Exchange Rate difference	-1.761	-0,35%	1.419	0,29%	-224,10%
Interest expense & bank costs	-2.432	-1,58%	-3.031	-1,97%	-19,76%
Interest income	6.051	3,93%	5.663	3,68%	6,85%
Prior year expenses	-1.753	-1,14%	7.950	5,16%	-122,05%
Total financial profits and costs	105	0,07%	12.001		-99,13%

Dott. Maurizio Annitto
Revisore Legale

BALANCE SHEET							
	Period ending 31/12/2025			2024		2025	2024
	Gross	Accumulated	Net				
	amount	depreciation	amount				
ASSETS					LIABILITIES		
Fixed assets					Net assets (Unrestricted)		
Intangibles assets					Net assets at beginning of the year	446.860	357.041
Tangible assets					Results of period	102.051	89.819
Financial assets							
					Total	548.911	446.860
Total							
Convertible assets					Debts		
Cash and cash equivalents			554.146	448.604	Prepaid expenses		
Inventories					Accrued expenses	16.279	14.013
Other current receivables			11.643	12.869	Revenues	600	600
Total			565.789	461.473	Total	16.878	14.613
Total Assets			565.789	461.473	Total Liabilities	565.789	461.473

Dott. Maurizio Annitto
Revisore Legale

CASH FLOW STATEMENT		Year ended 31st December	
		2025	2024
CASH GENERATED FROM OPERATIONS			
Change in Net Assets		102.051	89.819
(Increase)/Decrease Other Current Receivables		1.226	(10.712)
Increase/(Decrease Accounts payable)		2.266	4.256
		105.542	83.363
Purchase of Fixed Assets		-	-
NET INCREASE/(DECREASE) IN CASH		105.542	83.363
		2025	2024
Cash and cash Equivalents at beginning of year		448.605	365.241
Cash:		-	-
Bank c/c in €	n° 48.84.77.298	3.381	
Bank c/c in \$	n° 57.21.47.554	23.937	
Bank deposit:	n° 59.03.97.052	421.286	
Total		448.605	
Cash and cash Equivalents at end of year		554.147	448.605
Cash:		-	-
Cash on hand		-	
Bank c/c in €	n° 48.84.77.298	7.968	
Bank c/c in \$	n° 57.21.47.554	21.150	
Bank deposit:	n° 59.03.97.052	525.028	
Total		554.147	
NET INCREASE/(DECREASE) IN CASH		105.542	83.364

Dott. Maurizio Annitto
Revisore Legale

4. OPINION ON THE FINANCIAL STATEMENTS

In my opinion, on the basis of the audit carried out, the aforementioned financial statements and its attachments as a whole, are in compliance with the accounting principles generally accepted, and provides, as on December 31, 2025, a true and fair view of the assets and liabilities, of the change in net assets, and the financial position of the Confederation.

In conclusion, I propose to the Congress to approve the financial statement closed to December 31, 2025, as it has been drawn by the Treasurer.

May 8, 2026

Mr. Maurizio Annitto

